Removing financing obstacles through project structuring

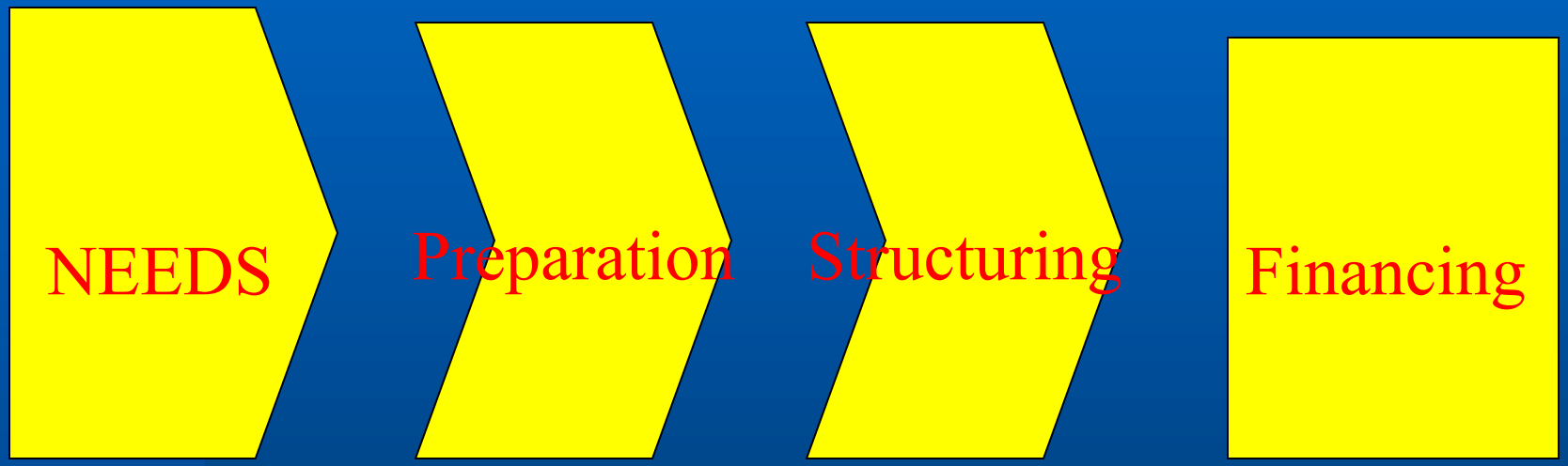
Access to Finance for Local Governments
IV World Water Forum
March 17, 2006

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Outline of the presentation

- Project preparation
- Project structuring

Project finance cycle



Project preparation

- One of the major obstacles to water and sanitation finance is project preparation
- Low institutional capacity
- A local affair, sometimes removed from decision making centers
- Difficult political and economic conditions
- Scarcity of financial resources: users, taxpayers, markets
- Project preparation not given the key role

Project preparation

- Donors and multilaterals financial institutions must emphasize support for the early stage.
- We at the IDB hope to approve on Monday a Project Preparation Fund with grants for capacity building and project preparation
- Donors should consider “debt for water swaps” as part of their official assistance.
- Both would leverage other funds: “teach them how to fish instead of giving them fish”

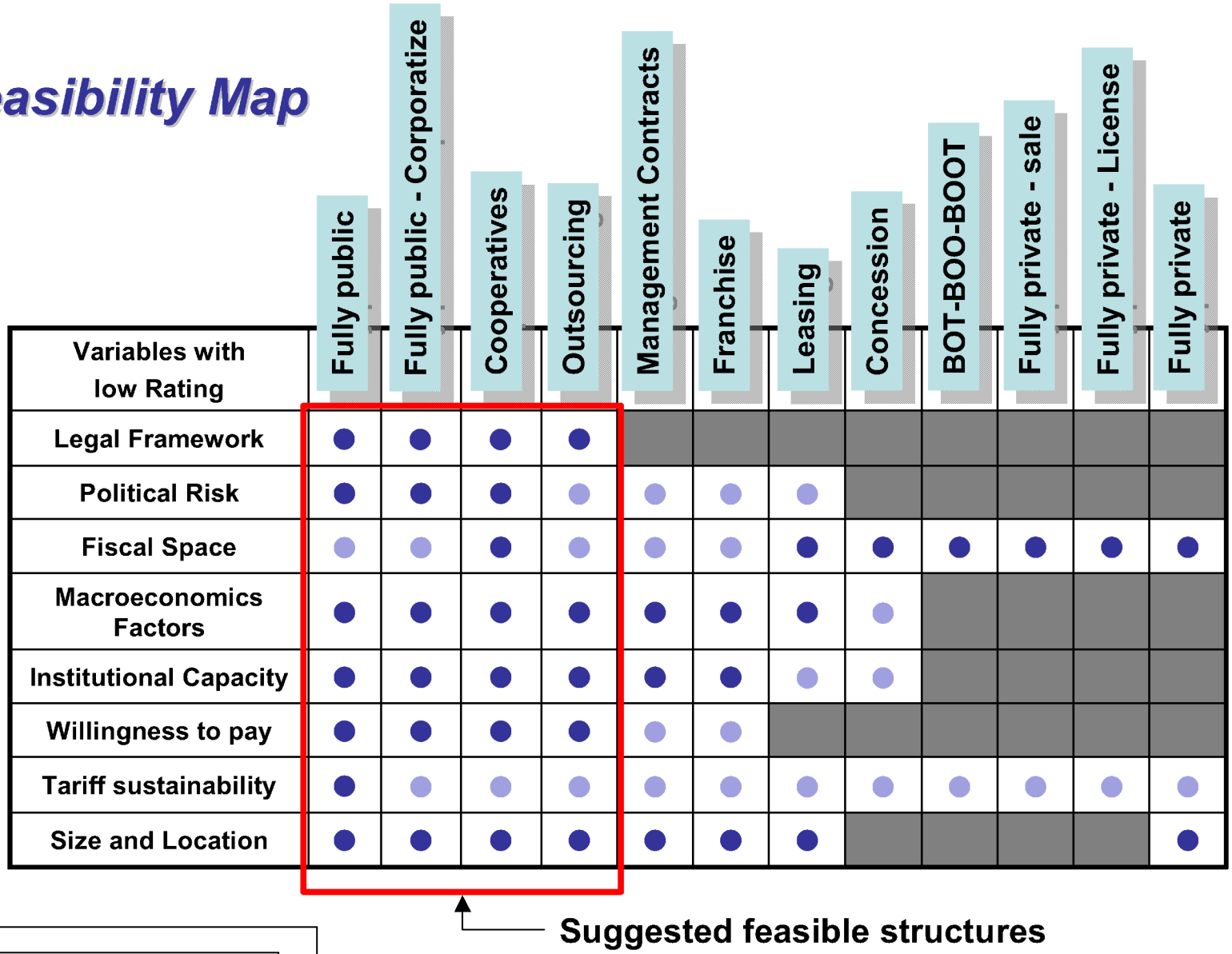
Project structuring

- Financial structures adapted to local realities
- Exploit all possibilities to maximize synergies between scarce resources: own labor, tariffs, donors, multilaterals, public and private resources
- At one extreme, cooperatives, water microenterprises, municipal utilities
- In the middle, management contracts, for operation, maintenance, collections, etc.
- At the other extreme, full-fledged concessions

Project structuring: local conditions

- Willingness to pay/local views
- Tariff sustainability
- Site and location
- Institutional capacity
- Fiscal space
- Legal framework
- Political risk
- Macroeconomic conditions

Project Feasibility Map



Water financing model

Sesión FT3.40,

Domingo 19 marzo, 11:00 am

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In summary

- Project preparation and structuring may not be a source of funds, but can help bring funds and enhance the long term sustainability of water projects

- All actors, all sources, all structures must be explored

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